FINRA Rule 2111 - Suitability

Official source: FINRA.org/rules-guidance/rulebooks/finra-rules/2111

Core obligation

A member or associated person must have a reasonable basis to believe a recommended securities transaction or investment strategy is suitable for the customer based on reasonable diligence concerning the customer's investment profile.

Investment profile

The profile includes age, other investments, financial situation and needs, tax status, objectives, experience, time horizon, liquidity needs, risk tolerance, and other disclosed information.

Three components

The rule identifies reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Reg BI limitation

Rule 2111 does not apply to recommendations subject to Exchange Act Rule 15l-1, Regulation Best Interest.